

# Organization

Dr. Christian A. Mahringer

TUM School of Management, Campus Heilbronn



# Course agenda

| Date       | Main theme                                   |
|------------|----------------------------------------------|
| 13.04.2026 | Definitional basics of organization          |
| 20.04.2026 | Formal organizational design                 |
| 27.04.2026 | Organization and environment                 |
| 04.05.2026 | Strategic organization design                |
| 11.05.2026 | Technology and organization                  |
| 18.05.2026 | Information technology, AI, and organization |
| 01.06.2026 | Informal organization                        |

| Date              | Main theme                             |
|-------------------|----------------------------------------|
| 08.06.2026        | Informal organization                  |
| 15.06.2026        | Dynamic perspectives on organizing     |
| 22.06.2026        | Guest lecture, Felix Ehrenfels, mmmake |
| <b>06.07.2026</b> | <b>Trends in organization design</b>   |
| 13.07.2026        | Trends in organization design          |
| 17.07.2026        | Review and wrap-up                     |

## Session 11

Trends in organizational design:  
What makes a design a “new” form?

# What you should be able to do after this and the next session

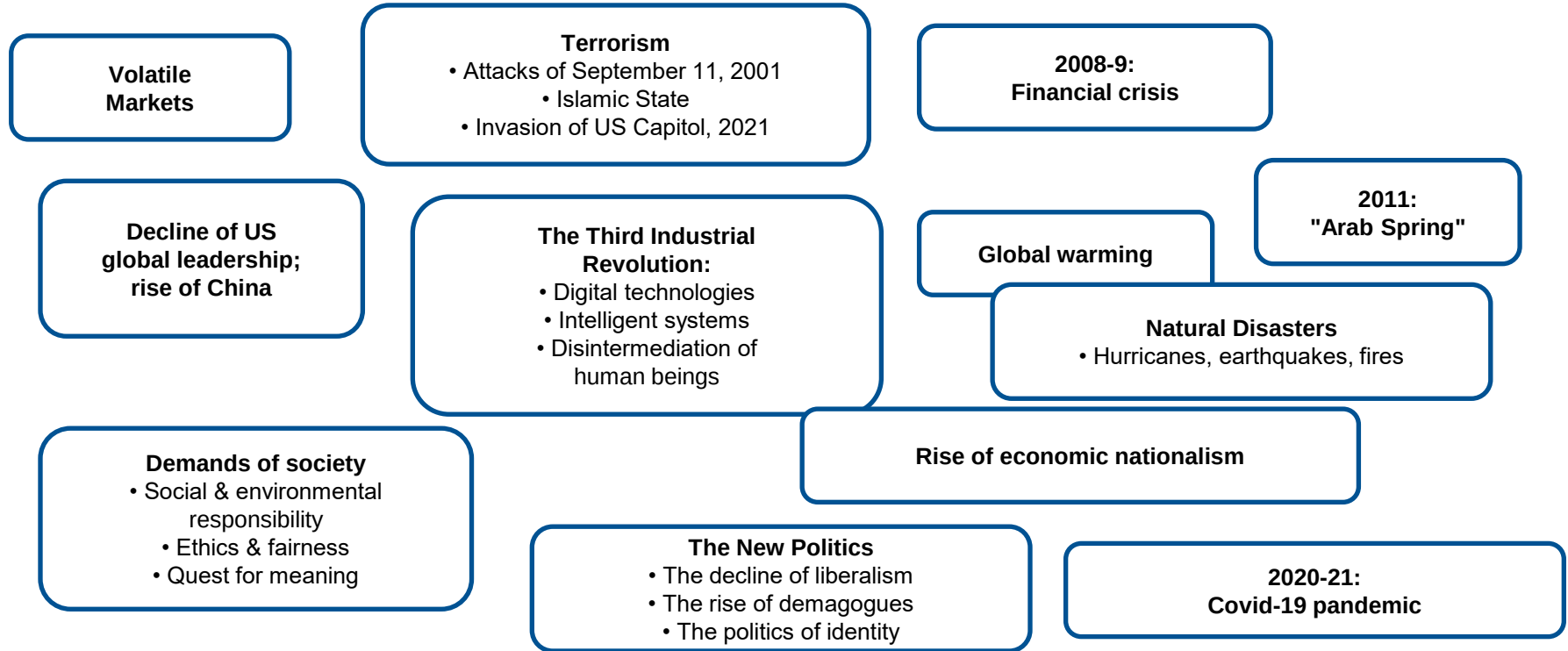
## Learning goals

- You can assess whether a form of organizing is new.
- You are familiar with recent trends in organizational design.
- You know the pros and cons of central modern organizational designs



Image source: ChatGPT

# Environmental conditions for organizations



Grant, R. M. (2021). Contemporary strategy analysis. John Wiley & Sons.

# Trends in organizational design

Which new organizational forms do you know, and why are they “new”?



Image source: ChatGPT

# Trends in designing organizations



- **Delayering**  
Flatter hierarchies
- **Role-centric organizations**  
Shared values, participation, flexible roles
- **Project-based organizations**  
Temporary, dynamic project teams
- **Network organizations**  
Coordination through interorganizational relationships
- **Permeable organizational boundaries**  
Specialization, collaboration, and ecosystems

# A caution: labels can hide the design problem

A label may refer to different kinds of design element

**Formal  
structure**

**Coordination  
mechanism**

**Governance  
system**

**Motivation  
pattern**

**Digital  
infrastructure**

**Cultural  
values**



# Universal problems of organizing

A form of organizing is a specific set of solutions to recurring problems

## **Task division**

How is the goal decomposed into tasks?

## **Task allocation**

Who performs which tasks?

## **Reward provision**

Why do actors contribute?

## **Information provision**

How do actors receive the information needed to accomplish work?

# What makes an organizational form new?



- A form is new when it solves one or more universal organizing problems in a new way.
- Assess novelty relative to comparable organizations.
- Hold the organizational goal as stable as possible.
- Assess the bundle of solutions, not only one element.

# Novelty of organizational forms

## Task:

- Choose one organization you know.
- Use the four-problem canvas:
  - How is the goal decomposed into tasks?
  - Who performs which tasks?
  - Why do actors contribute?
  - How do actors receive the information needed to accomplish work?
- Which aspects (if any) are new?
- Create one [slide](#).

## Goal:

- Deepen your understanding of what makes an organizational form new.

## Modus:

- Group work.

Image source: ChatGPT



# Open-source software development

Comparable goal: Develop software

## **Task division**

The founder shapes initial architecture; contribution further evolves it.

## **Task allocation**

Contributors self-select into tasks.

## **Reward provision**

Use value, intrinsic motivation, reputation, and signaling.

## **Information provision**

Virtual tools and visible artefacts enable coordination.

# Wikipedia



Comparable goal: Provide encyclopedic content

## **Task division**

No centralized editor defines the full table of contents.

## **Task allocation**

Contributors self-select into topics and edits.

## **Reward provision**

Rewards are mainly intrinsic and reputational.

## **Information provision**

The online platform enables contribution and coordination.

Puranam, P., Alexy, O., & Reitzig, M. (2014). What's "new" about new forms of organizing? *Academy of Management Review*, 39(2), 162–180.

# Two patterns of contemporary organizational designs



## Agile

### Manifesto for Agile Software Development

#### Principles of all agile methods:

1. Individuals and interactions over processes and tools
2. Working software over comprehensive documentation
3. Customer collaboration over contract negotiation
4. Responding to change over following a plan

# Two patterns of contemporary organizational designs



## Self-management

- **Core logic:** decentralization of authority in a formal and systematic way.
- **Typical elements**
  - Authority distributed to roles, teams, or circles
  - Reduced reliance on managerial hierarchy
  - Explicit decision rules
  - Peer coordination
  - Transparency around responsibilities
  - Formal tension-resolution processes
- Self-management does not mean absence of structure.

Lee, M. Y., & Edmondson, A. C. (2017). Self-managing organizations: Exploring the limits of less-hierarchical organizing. *Research in Organizational Behavior*, 37, 35–58.

# Contemporary organizational designs

**Network organization**

**Holocracy**

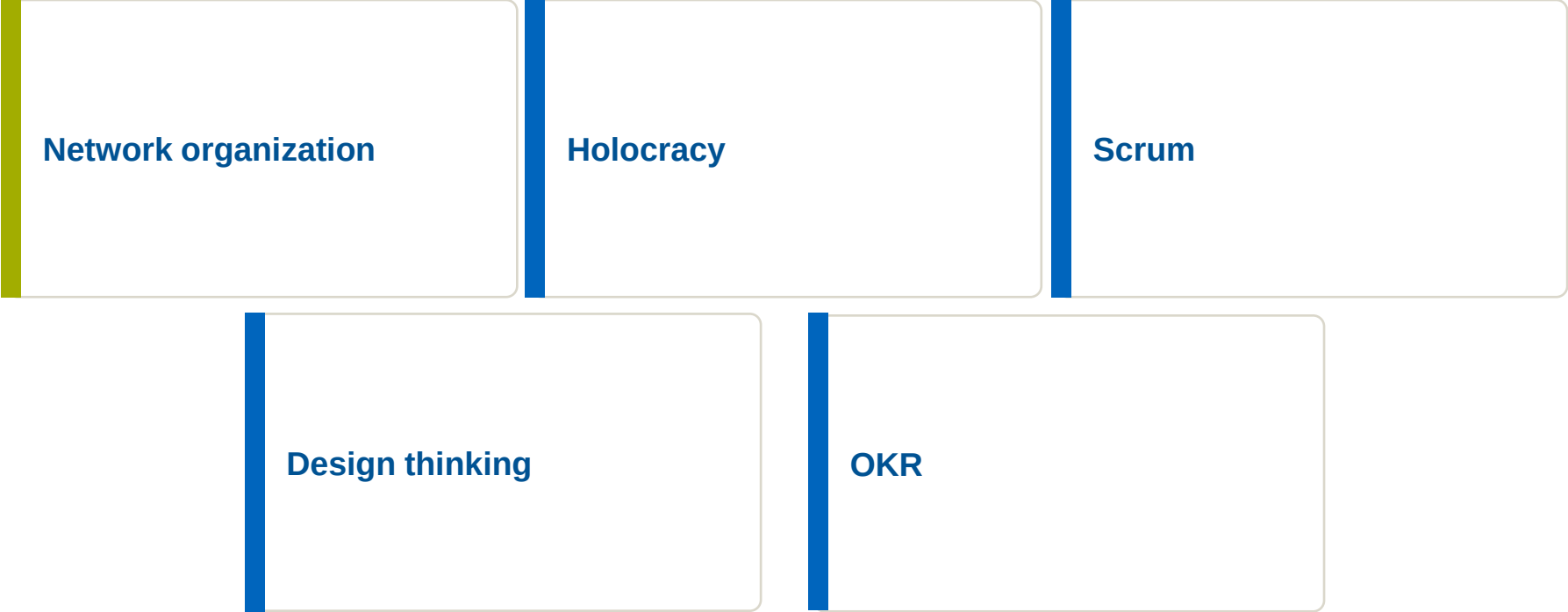
**Scrum**

**Design thinking**

**OKR**



# Contemporary organizational designs



The diagram consists of five rectangular boxes arranged in two rows. The top row contains three boxes: 'Network organization' (left), 'Holocracy' (middle), and 'Scrum' (right). The bottom row contains two boxes: 'Design thinking' (left) and 'OKR' (right). Each box has a vertical bar on its left side: olive green for 'Network organization' and blue for the others. The text inside each box is in a bold, blue, sans-serif font.

**Network organization**

**Holocracy**

**Scrum**

**Design thinking**

**OKR**

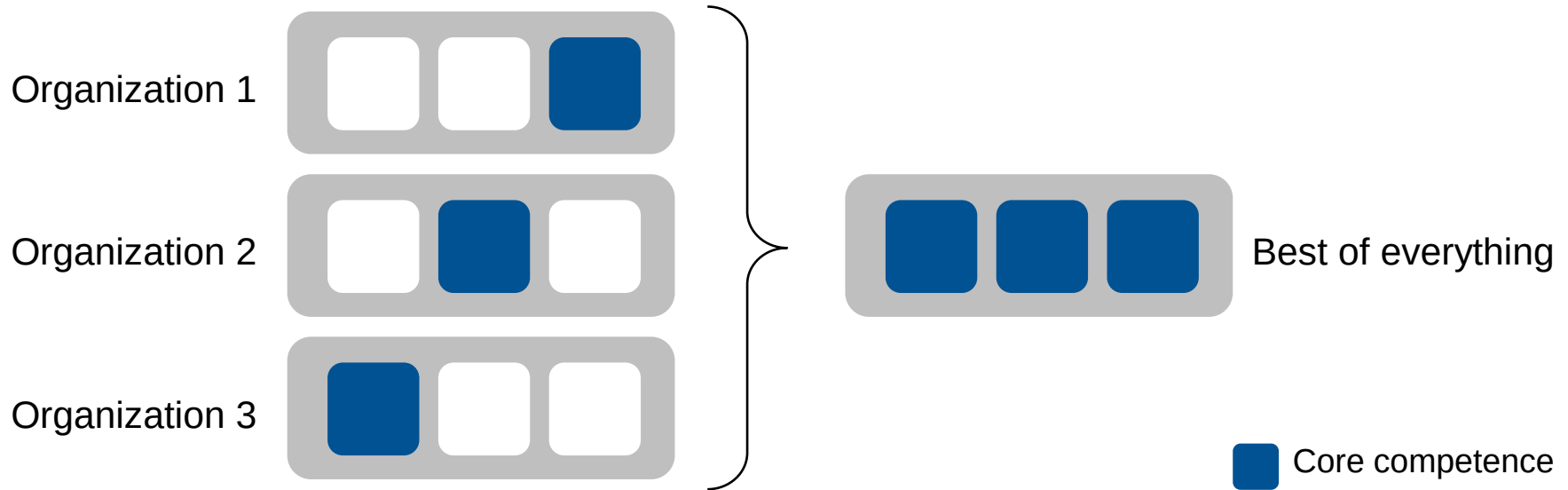
# Network organization

## Characteristics

- Collaboration among legally independent organizations
- Coordination through relationships rather than hierarchy
- High levels of communication, trust, and mutual adjustment
- Flexible partnerships organized around shared goals or opportunities
- Partners contribute complementary capabilities and resources

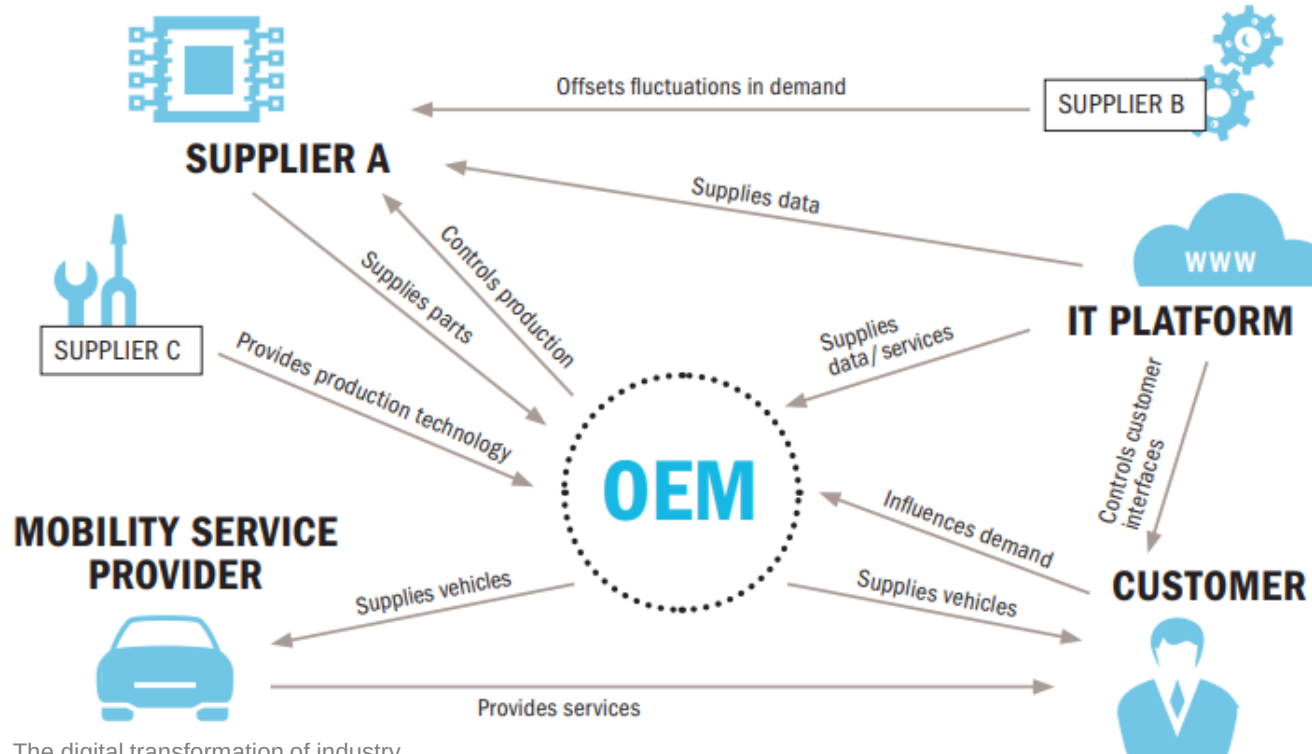
# Network organization

## Complementary core competences



# Network organization

Value creation is distributed



Berger, R. (2015). The digital transformation of industry.

# Network organization

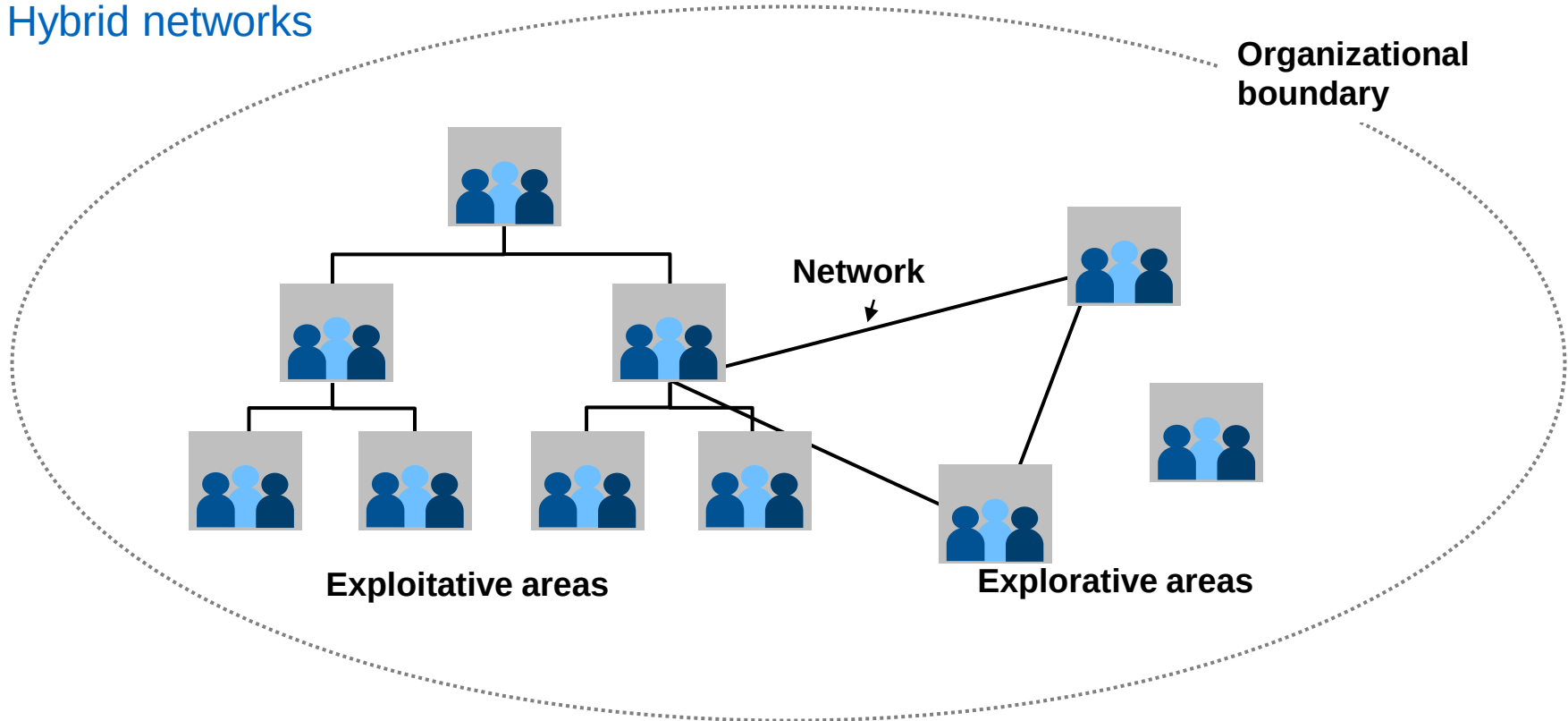
## Social units can be organized in ecosystems

| Ecosystem category            | Industrial ecosystem                                                        | Urban ecosystem                                                                                              | Knowledge ecosystem                                                    | Entrepreneurial ecosystem                                                                                 | Innovation, platform and business ecosystems             |
|-------------------------------|-----------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|----------------------------------------------------------|
| <b>Primary flow</b>           | Energy and material                                                         | Energy and material                                                                                          | Knowledge                                                              | Knowledge                                                                                                 | Value                                                    |
| <b>Category description</b>   | Enables energy and material flows within a geographically defined context   | Enables energy and material flows within a geographically defined context                                    | Enables knowledge production within a geographically defined context   | Enables knowledge production within a geographically defined context                                      | Enables the production of economic value                 |
| <b>Ecosystem outcome</b>      | Sustainable industrial production                                           | Urban amenity                                                                                                | New knowledge                                                          | New business models                                                                                       | Value proposition                                        |
| <b>Location specificity</b>   | Location specific                                                           | Location specific                                                                                            | Mostly location specific                                               | Location specific                                                                                         | Non-location specific                                    |
| <b>Ecosystem definition</b>   | Production of industrial goods and services through symbiotic collaboration | Collective production of urban amenities                                                                     | Collective translation of research advances into products and services | Collective facilitation of start-ups and scale-ups focused on business opportunities                      | Delivery of a value proposition through collaboration    |
| <b>Ecosystem participants</b> | Manufacturers, service providers, resource providers, utilities             | Utilities, local and city government, transport authorities, service providers, consumer-citizens, residents | Universities, public research institutions, for-profit firms           | Investors, accelerators, coworking spaces, makerspaces, educational and research institutions, government | Focal firm, complementors, suppliers, consumer-prosumers |

Autio, E., & Thomas, L. D. (2022). Researching ecosystems in innovation contexts. *Innovation & Management Review*, 19(1), 12-25.

# Network organization

## Hybrid networks



# Network organization

## Are networks a new form of organizing?

### Task:

- Apply the four-problem canvas to this organization:
  - How is the goal decomposed into tasks?
  - Who performs which tasks?
  - Why do actors contribute?
  - How do actors receive the information needed to accomplish work?
- Which aspects (if any) are new?
- Create one [slide](#).

### Goal:

- Deepen your understanding of whether networks are new forms of organizing.

### Modus:

- Group work.



Image source: ChatGPT

# Network organization

What are the pros and cons of networks?



Image source: ChatGPT



# Contemporary organizational designs

**Network organization**

**Holocracy**

**Scrum**

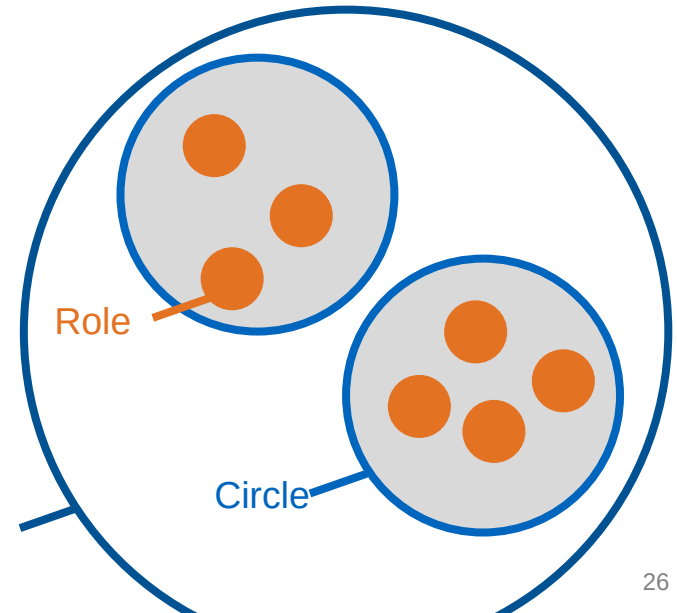
**Design thinking**

**OKR**

# Holocracy

## Roles and circles

- A self-management framework designed to replace conventional top-down management structures
- **Roles**
  - Coordination is based on roles, each defined by its purpose, responsibilities, and domains of authority (i.e., ownership), for example, a website, machine, or tool.
  - One person may hold multiple roles, and multiple people may share the same role.
- **Circles**
  - **Fixed roles:**
    - **Lead Link:** Assigns roles within the circle.
    - **Facilitator:** Facilitates governance and operational meetings.
    - **Rep Link:** Represents the circle in the next higher circle.
    - **Secretary:** Documents decisions and maintains records.



## Meeting types: Tactical and governance meetings

### Tactical meeting

- **Purpose:** These meetings are designed to help partners engage each other in their responsibilities and duties, specifically to process operational tensions
- **Frequency:** Regularly scheduled by the circle's secretary to ensure continuous alignment
- **Standard Process:** Includes a check-in round, checklist review, metrics review, progress updates, agenda building, triage items, and a closing round
- **Focus:** The triage step allows participants to make requests of other roles to move projects and next-actions forward

<https://www.holacracy.org/constitution/5-0/>

### Governance meetings

- **Purpose:** These meetings are used to enact the governance process, which involves defining, amending, or removing a circle's roles and policies
- **Key Activities:** Participants hold elections for roles and resolve structural tensions
- **Standard Process:** Follows a structured format of check-in round, agenda building & processing, and a closing round
- **Focus:** Governance meetings are the only valid way to change a circle's formal authority structure and role definitions

# Holocracy

## Example: Mercedes-Benz.io

### The Need for Transformation

- Mercedes-Benz.io (MB.io), a 100% subsidiary of Mercedes-Benz AG, was founded to meet the challenges of digital transformation
- Traditional pyramid-shaped hierarchies were found to lack the adaptability and speed required for a rapidly changing digital environment
- MB.io adopted Holacracy in 2016 to become more responsive, innovative, and agile

### Key Objectives

- Guided by a central purpose: "Create experiences that people love and we are proud of"
- To foster decentralized decision-making by those closest to operational realities
- To increase transparency and accountability across the organization
- To provide a meaningful and engaging workplace that appeals to modern knowledge workers

Ackermann, M., Schell, S., & Kopp, S. (2021). How Mercedes-Benz addresses digital transformation using Holacracy. *Journal of Organizational Change Management*, 34(7), 1285-1299.

# Holocracy

## Example: Mercedes-Benz.io

### The Circle Structure (Holons)

- The organization is composed of circles, or "holons," which function autonomously but are part of a greater whole.
- MB.io operates with a General Company Circle (GCC) containing roughly 45 circles and 500 different roles
- Roles are defined by function rather than person; one employee may hold multiple roles across circles

### Governance and Meetings

- The Constitution acts as the formal "rulebook" and power-holder, rather than a CEO
- Governance Meetings focus on working "on" the company, updating roles and circle structures
- Tactical Meetings replace traditional supervision, using a structured format to ensure peer accountability regarding projects and metrics
- Digital tools like GlassFrog are used to codify purposes, roles, and accountabilities for full transparency

Ackermann, M., Schell, S., & Kopp, S. (2021). How Mercedes-Benz addresses digital transformation using Holacracy. *Journal of Organizational Change Management*, 34(7), 1285-1299.

# Holocracy

## Example: Mercedes-Benz.io

### Agile Integration

- MB.io utilizes a hybrid approach: Holacracy defines the organizational structure, while daily product development follows Scrum and Kanban
- A specialized Agility Circle was created to embed agile thinking into the very fabric of the organization
- Leadership is contextual and functional; roles like "Lead Link" and "Facilitator" handle specific duties once held by traditional managers



Ackermann, M., Schell, S., & Kopp, S. (2021). How Mercedes-Benz addresses digital transformation using Holacracy. Journal of Organizational Change Management, 34(7), 1285-1299.; Image source: <https://www.mercedes-benz.io/>

# Holocracy

## Is holocracy a new form of organizing?

### Task:

- Apply the four-problem canvas to this organization:
  - How is the goal decomposed into tasks?
  - Who performs which tasks?
  - Why do actors contribute?
  - How do actors receive the information needed to accomplish work?
- Which aspects (if any) are new?
- Create one [slide](#).

### Goal:

- Deepen your understanding of whether holocracy is a new form of organizing.

### Modus:

- Group work.



Image source: ChatGPT

# Holocracy

What are the pros and cons of holocracy?



Image source: ChatGPT



# Takeaways from today

An organizational form is new when it solves core organizational problems differently from comparable organizations.

Network organizations coordinate independent partners through relationships, mutual adjustment, and complementary capabilities.

Holocracy distributes authority through roles, circles, and formal governance processes.

Both forms can increase agility, but they also make coordination and accountability more demanding.

There are other new organizational forms. Next time, we will examine them.

# Course agenda

| Date       | Main theme                                   |
|------------|----------------------------------------------|
| 13.04.2026 | Definitional basics of organization          |
| 20.04.2026 | Formal organizational design                 |
| 27.04.2026 | Organization and environment                 |
| 04.05.2026 | Strategic organization design                |
| 11.05.2026 | Technology and organization                  |
| 18.05.2026 | Information technology, AI, and organization |
| 01.06.2026 | Informal organization                        |

| Date       | Main theme                             |
|------------|----------------------------------------|
| 08.06.2026 | Informal organization                  |
| 15.06.2026 | Dynamic perspectives on organizing     |
| 22.06.2026 | Guest lecture, Felix Ehrenfels, mmmake |
| 06.07.2026 | Trends in organization design          |
| 13.07.2026 | Trends in organization design          |
| 17.07.2026 | Review and wrap-up                     |

# Contact information



**Dr. Christian A. Mahringer**

TUM School of Management,  
Campus Heilbronn

[christian.mahringer@bwi.uni-stuttgart.de](mailto:christian.mahringer@bwi.uni-stuttgart.de)

Connect with me on [LinkedIn](#) for recent updates.

Generative AI was used to refine this presentation. All AI-generated content has been reviewed, and the author assumes full responsibility for its accuracy and integrity.